1. Traditional Approach: The traditional approach defines development strictly in economic terms. The increase in GNP is accompanied by decline in share of agriculture in output and employment while those of manufacturing and service sectors increase. It emphasizes the importance of industrialization. It was assumed that growth in GNP per capita would trickle down to people at the bottom.

2. New Welfare oriented Approach: During 1970s, economic development was redefined in terms of reduction of poverty, 'inequality' and unemployment within the context of a growing economy. In this phase, 'Redistribution with Growth' became the popular slogan.

To quote Michael P. Todaro, "Development must, therefore, be conceived as a multidimensional process involving major changes in social structures, popular attitudes and national institutions as well as the acceleration of growth, the reduction of inequality and the eradication of absolute poverty".

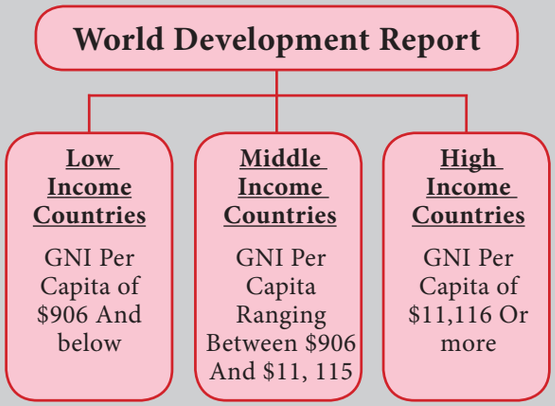
Underdevelopment

The UDCs are characterized by predominance of primary sector i.e. agriculture, low per capita income, widespread poverty, wide inequality in distribution of income and wealth, over population, low rate of capital formation, high rate of unemployment, technological backwardness, dualism etc.

Features of an Underdeveloped Economy

Introduction

- The term 'underdeveloped country' is relative.
- The World bank in its world Development Report classified various countries on the basis of Gross National Income (GNI) Per Capita.



Meaning of Underdevelopment

The term underdevelopment refers to that state of an economy where levels of living of masses are extremely low due to very low levels of Percapita income, resulting from low levels of productivity and high growth rate of population.

11.2 Economic Growth Vs Economic Development

1. State of Development

Generally speaking, economic development refers to the problems of underdeveloped countries and economic growth to those of developed countries.

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